Claude for Hedge Funds

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CLAUDE.md for Hedge Fund Professionals

The configuration file that makes Claude work the way you do

What this is

Every Claude session starts the same way: a blank slate.

No memory of how you structure a thesis, which multiples you prefer, or what your memo format looks like.

You re-establish that context manually, every time, or you get generic output.

`CLAUDE.md` is the solution. It's a plain-text file that sits in your working folder and tells Claude how you work.

Claude reads it automatically at the start of every session and treats it as standing instruction. No re-prompting required.

The result: outputs that follow your framework, use your preferred multiples, and match your memo format from the first response.

It works in both Cowork and Claude Code, and the same file moves between them without modification.

This guide shows you how to build one that actually holds up.

Starter template

Copy this, fill in your specifics, save as `CLAUDE.md` in your project root.

```
# CLAUDE.md — [Fund/Team] Research Standards

## Investment Philosophy
[Your edge, style, conviction framework — 3–5 sentences]

## Sector Universe
[Coverage areas, key metrics per sector, named peer benchmarks]

## Valuation Approach
[Preferred multiples by company type, benchmarking convention,
flag thresholds]

## Thesis Structure
[Required memo sections, in order, with what each must address]

## Diligence Checklist
[Must-pass items before advancing a name — numbered, specific]

## Termination Criteria
[Automatic disqualifiers — hard thresholds, no soft language]

## Output Formatting
[Memo length and structure, comp table columns, screen sort logic,
verification flagging convention]
```

Before you start: sandbox rules

> **Never paste proprietary data, client names, MNPI, or fund positions into any LLM. Including Claude.**

Build and test your `CLAUDE.md` workflows using:

- Public filings (10-K, 10-Q, 8-K via SEC EDGAR)
- Earnings transcripts from public sources
- Publicly available consensus estimates
- Anonymized or fictional company stand-ins for structural testing

If your firm has an approved AI environment, follow its policy.

If it doesn't, keep everything in a personal sandbox on public data until it does.

What goes in a CLAUDE.md

Seven sections. Each one removes a class of output you'd otherwise have to correct.

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1. Investment Philosophy

Tell Claude your edge, style, and conviction framework. This shapes how it frames every thesis and screens every name.

What to write: Your actual approach in 3–5 sentences. Include concentration, time horizon, and what "high conviction" means to you.

Example:

> **## Investment Philosophy**
>
> Fundamental long/short equity, 30–50 positions, market-neutral to modestly net long (net 0–30%). The process drives every decision: no position is initiated without a financial model, an industry analysis, and a management assessment.
>
> Longs are businesses where that work surfaces durable cash flows, a defensible competitive position, and capable management trading at a discount to intrinsic value. Shorts are businesses where the same process reveals deteriorating earnings quality, structural headwinds, or a competitive position weaker than the market is pricing.
>
> Intrinsic value is a living estimate, not a price target: it is reassessed continuously as new information arrives. Positions are sized to the margin of safety and trimmed systematically as that margin compresses. Risk is managed through position sizing, gross exposure limits, and sector diversification, not through hedging instruments.

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2. Sector Universe

Define your coverage areas and the metrics that matter within each. Without this, Claude applies generic frameworks to specialized situations.

What to write: Your sectors, why you're in them, and 3–5 key metrics per sector. Include named peer benchmarks where you have them.

Example:

> **## Sector Universe**
>
> Generalist, U.S. and developed market equities. No permanent sector exclusions, but highest coverage depth in:
>
> - Industrials & capital goods: key metrics: ROIC vs. WACC spread, FCF conversion, order book trajectory, cycle positioning.
> - Consumer discretionary & staples: key metrics: same-store sales, gross margin vs. 5-year median, inventory turns, private label exposure.
> - Financials: key metrics: P/TBV vs. normalized ROE, NIM trajectory, reserve coverage, loan growth vs. peers.
>
> Avoid: early-stage biotech (binary outcomes incompatible with value framework), pre-revenue companies.

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3. Valuation Approach

Specify your preferred multiples by company type, your benchmarking convention, and what flags a stretched or dislocated valuation. This is where generic AI outputs diverge most sharply from fund-specific work.

What to write: Which multiples you use and when, how you benchmark (trailing median, sector average, etc.), and your standard deviation thresholds.

Example:

> **## Valuation Approach**
>
> Primary: DCF to intrinsic value. Required margin of safety ≥30% for longs; shorts require price ≥25% above intrinsic value estimate.
> Secondary multiples by company type:
>
> - Mature / low-growth (<10% revenue CAGR): EV/EBITDA and P/FCF. Benchmark to 7-year median and sector peer median.
> - Asset-heavy (industrials, financials): EV/Invested Capital vs. ROIC/WACC; P/TBV vs. normalized ROE.
> - Capital-light / high-return: P/FCF and owner earnings yield.
>
> Flag if trading >1.5 std dev above 7-year median multiple without a structural change in the business to justify re-rating. Always document mid-cycle earnings assumption: don't value cyclicals at peak.

4. Thesis Structure

Define the required sections for every investment memo. This enforces consistency across names and makes your work reviewable.

What to write: A numbered list of required sections, in order. Be specific about what each section must address.

Example:

> **## Thesis Structure**
>
> Every investment memo must include, in this order:
>
> 1. Variant perception: specific claim about what the market is wrong about and why; cite the consensus view being disagreed with
> 2. Business quality assessment: competitive position, pricing power, returns on capital vs. cost of capital, management track record
> 3. Valuation: intrinsic value estimate, current discount/premium, margin of safety; show DCF assumptions explicitly
> 4. Mid-cycle earnings: normalize for cycle; document the assumption
> 5. Catalyst timeline: what closes the gap and when; be specific
> 6. Bull case: price target, multiple expansion or compression assumed, key upside driver
> 7. Bear case: price target, what breaks the thesis, max drawdown estimate
> 8. Short hedge: for long positions, identify the paired short or index hedge and its rationale
> 9. Position sizing rationale: conviction tier (high / medium / starter), gross and net exposure impact

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5. Diligence Checklist

The minimum bar before a name gets serious attention.

Forces Claude to surface gaps rather than paper over them.

What to write: A numbered checklist of must-pass items.

Specific enough that a "no" is unambiguous.

Example:

> **## Diligence Checklist**
>
> Before advancing any position, confirm:
>
> 1. Earnings quality: cash conversion ratio >85% over trailing 3 years; flag accruals ratio outside ±5%
> 2. Balance sheet: net debt/EBITDA <3x for longs; flag covenant risk
> 3. Capital allocation: ROIC vs. WACC positive and stable or improving; M&A history assessed for value creation or destruction
> 4. Insider alignment: executives hold meaningful equity; no pattern of selling into strength
> 5. Management track record: capital allocation and operational decisions at this company over a full cycle, not just the last 2 years
> 6. Competitive moat: evidence of pricing power in the last downturn; gross margin stability vs. peers
> 7. Mid-cycle normalization: peak/trough earnings identified; thesis does not depend on cycle-peak multiples on cycle-peak earnings
> 8. Liquidity: sufficient ADV to build and exit target position within 10 trading days

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6. Termination Criteria

Automatic disqualifiers.

Naming these explicitly prevents Claude from burying a fatal flaw in footnotes.

What to write: Hard thresholds that end analysis, not soft concerns.

Be specific with numbers.

Example:

> **## Termination Criteria**
>
> Stop work and note the disqualifier if:
>
> - Margin of safety <30% discount to intrinsic value for longs; <25% premium for shorts: the edge is not there
> - Cash conversion <70% in 2 of the last 3 years without a clear one-time explanation: earnings quality is suspect
> - Net debt/EBITDA >4x for a long; flag any covenant within 1x headroom
> - Insider selling >$5M in the trailing 6 months outside a pre-planned 10b5-1: management is not aligned
> - ROIC has been below WACC for 3 consecutive years with no credible path to improvement: capital destruction, not a value opportunity
> - Single customer >25% of revenue: concentration risk incompatible with the margin of safety framework
> - Auditor change in the past 24 months without a disclosed reason

7. Output Formatting

Specify exactly how you want deliverables structured.

Memo length, comp table columns, screen sort order.

Eliminates formatting back-and-forth.

What to write: Format requirements for each output type you use.

Example:

> **## Output Formatting**
>
> - Memos: max 2 pages. Lead with variant perception: one crisp sentence stating what the market is wrong about. Intrinsic value and margin of safety in the opening paragraph. No filler.
> - Comp tables: EV/EBITDA (NTM and LTM), P/FCF, EV/Invested Capital, ROIC, FCF margin, net debt/EBITDA. Include 3-year and 7-year median multiples for each name. Sort by discount to intrinsic value, descending.
> - DCF outputs: show WACC, terminal growth rate, and implied exit multiple alongside the intrinsic value figure: never a standalone number.
> - Screens: ranked by margin of safety (largest to smallest). Show intrinsic value, current price, implied return, and ADV in adjacent columns.
> - Verification flag: if a data point couldn't be confirmed from a primary source (filing, earnings transcript, official release), mark it [VERIFY] inline: don't silently omit or estimate.

What this doesn't replace

`CLAUDE.md` improves Claude's outputs within your framework. It does not:

- Verify data against a terminal or primary source — always check figures independently
- Substitute for compliance review of any client-facing work
- Remove the need for your own judgment on variant perception or position sizing

The `[VERIFY]` flag convention in the output formatting section exists for this reason. Build verification into the workflow, not around it.

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